

Lebanon: IMF deal out of reach in 2026

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【メール原文】

A legal challenge backed by Lebanese President Joseph Aoun is likely to delay the Bank Restructuring Law beyond 2026; meanwhile, bank lobbying also th|||||||

Quick take

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Lebanon reform setbacks keeps IMF deal out of reach in 2026

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Short-term trajectory:

Long-term trajectory:

What Happened

The government's efforts to pass crucial financial and banking reforms to secure an aid package from the IMF suffered a significant setback after Lebanese President Joseph Aoun lodged an appeal with the Constitutional Council challenging an article of the Bank Restructuring Law (BRL) that parliament passed in August (see: Banking reform advances, but IMF deal still distant , 30 July 2026).

Our Take

Challenges to banking reforms keep the IMF package out of reach in 2026. As Prime Minister Nawaf Salam and several key cabinet members held meetings in Washington with Secretary of State Marco Rubio, Secretary of the Treasury Scott Bessent, and IMF and World Bank leaders to drum up support for Lebanon to receive a much-needed aid package, Bank of Lebanon Governor Karim Souaid—backed by Aoun—is arguing that language in Article 3 of the BRL, which sets the framework for handling commercial bank restructurings and liquidations, may interfere with the functions of the central bank.

The Constitutional Council now has a duty to review the entire law, not just the article challenged by the president, a process that one source tells Eurasia Group could take up to eight months to even start, though an aide to the Lebanese president has claimed the process could be finalized within one month. If the law is struck down, it will have to go back to the Lebanese parliament, where likely lengthy negotiations will commence regarding the articles in question. This means that the BRL's passage, a central element of Beirut's efforts to get IMF aid to stabilize the country's economy and finances following the Israel-Hezbollah war, is likely to be delayed beyond 2026.

The so-called Gap Law is also at risk. Meanwhile, lobbying by commercial banks and political wrangling have cast doubt over the prospects for another key piece of legislation. The Gap Law, formally known as the Financial Stability and Deposit Recovery law, is meant to allocate an estimated \$81 billion in losses stemming from the country's 2019 economic collapse among the state, the financial sector, and depositors. Following the challenge, the parliamentary committees working on the Gap Law may have to halt work while waiting to know the fate of the BRL.

Bank owners and shareholders are vehemently opposed to the law, arguing that the government needs to sell gold reserves or privatize state companies to repay the debt owed to them.

The two pieces of legislation and the medium-term fiscal framework are the key requirements for a full-fledged agreement with the IMF. The ongoing war between Israel and Hezbollah has significantly hurt the government's fiscal and liquidity position and, by extension, undermined the financial assumptions of the Gap Law.

Firas Maksad

Managing Director, Middle East & North Africa

+1 202.552.5384

maksad@eurasiagroup.net

Farzan Sabet

Senior Analyst & Practice Manager, Middle East & North Africa

sabet.ne@eurasiagroup.net

EG Middle East & North Africa

mena@eurasiagroup.net

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